



From utility disconnection to universal access

Kirsten Verclas^{a,*}, Eric Hsieh^b

^a Oak Ridge Institute for Science and Education (ORISE) Fellow to the U.S. Department of Energy, United States

^b U.S. Department of Energy, United States

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ABSTRACT

By some estimates, 31% of Americans face some sort of ‘energy insecurity,’ but the full extent of the issue and the magnitude of its effect are often difficult to quantify. This case study examines disconnection policies primarily in Minnesota and attempts to extrapolate lessons learned for other states and the nation as a whole. The case study concludes with a discussion about the relevance of U.S. universal access to the utility shut-off challenge.

1. Introduction

1.1. Customer impacts

Analysts have argued that an “affordable” energy burden is 6% of overall income, where the amount spent on energy is 20% of housing costs and housing costs are 30% of income.¹ However, on average, low-income households pay far more than 30% on rent or mortgage and thus have little money available for energy costs or other basic needs like food, education, or medical bills. The lack of available budget puts low-income households at risk for having their utility accounts disconnected, resulting in temporary or permanent termination of those households’ access to energy.

In 2015, the U.S. Energy Information Administration found that one in three households faced challenges in paying energy bills, where 14% received a disconnection notice from the utility (Fig. 1). Some 7 million households (6% of the national total) experienced the inability to use heating equipment at some point in 2015 and 6 million (5%)

experienced the loss of air conditioning. Households with income under \$20,000 were almost three times more likely to experience energy insecurity² than households with income over \$60,000.³

The exact number of nationwide utility disconnections is not known because data is only collected in some states and is not aggregated at the national level. However, electricity companies in states such as California, Texas, and Minnesota file reports to their Public Utilities Commissions (PUCs) on how many customers are disconnected. The disconnections where data is collected seem to be increasing year over year. The number of disconnections in California rose from less than 450,000 to over 700,000 from 2010 to 2016 – an increase of 64% in five years. In Texas, 900,000 homes were shut off during summer 2016 due to unpaid bills, triple the amount of 10 years ago.⁴ The economic situation of low-income households has been exacerbated by slow wage growth in the last decade, compounded by rising housing costs. Since the Great Recession, wages have not grown significantly; an increase of 2.9% in January 2018 was the largest-year-over-year percentage increase since June 2009.⁵

* Corresponding author.

E-mail address: kverclas1@alumni.jh.edu (K. Verclas).

¹ Adam Chandler, Where the Poor Spend More Than 10 Percent of Their Income on Energy, The Atlantic, June 8, 2016, <https://www.theatlantic.com/business/archive/2016/06/energy-poverty-low-income-households/486197/>.

² The IEA defines energy security as the uninterrupted availability of energy sources at an affordable price. Energy security has many aspects: long-term energy security mainly deals with timely investments to supply energy in line with economic developments and environmental needs. Source: 2018 www.iea.org/topics/energysecurity/.

³ EIA, One in three U.S. households faced challenges in paying energy bills in 2015, [https://www.eia.gov/consumption/residential/reports/2015/energybills/?src=%E2%80%B9%20Consumption%20%20%20%20%20Residential%20Energy%20Consumption%20Survey%20\(RECS\)-f1](https://www.eia.gov/consumption/residential/reports/2015/energybills/?src=%E2%80%B9%20Consumption%20%20%20%20%20Residential%20Energy%20Consumption%20Survey%20(RECS)-f1), Accessed March 30, 2018.

⁴ Jim Polson, More Americans Are Getting Their Electricity Cut Off, Bloomberg, Oct. 13, 2017, <https://www.bloomberg.com/news/articles/2017-10-13/in-great-american-blackout-millions-go-dark-due-to-unpaid-bills>.

⁵ Don Lee, U.S. economy creates 200,000 jobs in January, wages take off, <https://www.latimes.com/business/la-fi-jobs-report-20180202-story.html>, Accessed May 18, 2018.

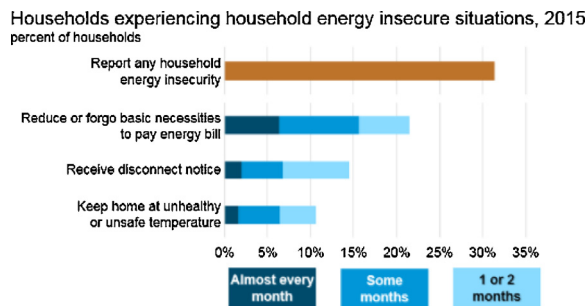


Fig. 1. Households experiencing household energy insecure situations, 2015. Source: EIA, *One in three U.S. households faced challenges in paying energy bills in 2015*, [https://www.eia.gov/consumption/residential/reports/2015/energybills/?src=%E2%80%B9%20Consumption%20%20%20%20%20%20Residential%20Energy%20Consumption%20Survey%20\(RECS\)-f1](https://www.eia.gov/consumption/residential/reports/2015/energybills/?src=%E2%80%B9%20Consumption%20%20%20%20%20%20Residential%20Energy%20Consumption%20Survey%20(RECS)-f1).

Electricity termination can endanger health and safety, cause social stigma, and reduce productivity.^{6,7} Space heaters, candles, and generators can emit carbon monoxide or cause fires.⁸ In fact, 32% of home heating fires involve space heaters, accounting for 79% of home heating fire deaths.⁹ Energy provides heating and cooling functions, a necessity for customers' wellbeing in the winter and summer months in many parts of the U.S. Cold- and heat-related deaths predominantly impact the elderly; in a 2014 report, the CDC found that cold- and heat-related deaths were significantly higher for persons aged 75–84 and even larger for persons aged 85 and over (Fig. 2).¹⁰

In addition to providing for heating and cooling needs, energy (and specifically electricity) is necessary for customers with conditions requiring medical equipment (i.e. ventilators, breathing monitors, or heart monitors). Electricity disconnection could also lead to homelessness because many landlords consider it grounds for eviction. For households with children, not being able to pay utility bills has been found to be the second leading cause for homelessness.¹¹

1.2. Overview of disconnection policies

Disconnection policies govern what kind of customers, and under what circumstances the customer can be disconnected by the utility. These rules vary significantly by state.¹² Disconnection policies also “consist of the justifications, procedures, and consumer protections with which a utility must comply before terminating service to a customer.”¹³ Depending on the type of utility (investor-owned utility (IOU), municipality or cooperative), the disconnection policies are either set by the regulator, the city council, or a governing board,

⁶ Day, R., G. Walker, N. Simcock. Conceptualizing Energy Use and Energy Poverty Using a Capabilities Framework. *Energy Policy* 2016. 93:255–264.

⁷ California Public Utility Commission, Division of Ratepayer Advocates. Status of Energy Utility Service Disconnections in California. March 2011.

⁸ NAACP, Lights Out in the Cold, March 2017, http://www.naacp.org/wp-content/uploads/2017/12/Lights-Out-in-the-Cold_NAACP.pdf.

⁹ Space Heaters Involved in 79 Percent of Fatal Home Heating Fires. Feb. 11, 2010, <http://www.nfpa.org/news-and-research/news-and-media/press-room/news-releases/2010/space-heaters-involved-in-79-percent-of-fatal-home-heating-fire>.

¹⁰ National Health Statistics Report, Deaths Attributed to Heat, Cold, and Other Weather Events in the United States, 2006–2010, July 30, 2014, <https://www.cdc.gov/nchs/data/nhsr/nhsr076.pdf>.

¹¹ Boyce, Dan Jordan Wirfs-Brock, High Utility Costs Force Hard Decisions for the Poor, *Inside Energy*, May 8 2016, Available at: <http://insideenergy.org/2016/05/08/high-utility-costs-force-hard-decisions-for-the-poor/>.

¹² NAACP, Lights Out in the Cold, March 2017, http://www.naacp.org/wp-content/uploads/2017/12/Lights-Out-in-the-Cold_NAACP.pdf.

¹³ NAACP, Lights Out in the Cold, March 2017, http://www.naacp.org/wp-content/uploads/2017/12/Lights-Out-in-the-Cold_NAACP.pdf, page 2.

respectively.

Generally, disconnection protections fall in four categories: procedural protections, seasonal protections, payment assistance, and protections for vulnerable groups.¹⁴ While the list below is not exhaustive, it provides an overview of some of the most common protections in each of these categories.

1.2.1. Procedural protections

1.2.1.1. Notice. The U.S. Supreme Court has ruled that all customers have a constitutionally assured procedural right to be given notice prior to termination of utility service.¹⁵ Though a minimum level of notice is required, the length of notice and notice procedures vary widely in different states. Robust notice policies could protect customers from being disconnected and alert them of their duty to pay for utility service, but delivery is often complicated by factors such as language barriers, or an inability to reach a customer if a phone on record has been cut off. In addition, notices sent electronically might not reach the intended receiver and could be less reliable due to lack of internet access, especially in low-income households.

1.2.2. Disconnection limitations

1.2.2.1. Date-based protection. Date-based protection is often in place in states with heating needs in the winter months and usually covers a certain period between the fall and the spring (i.e., Oct. 15 – April 15 in Minnesota or Nov. 1 – May 1 in Connecticut). In most states, customers still have to enroll in a payment plan and pay a certain percentage of their income or utility bill to be guaranteed protection in the winter months. In Michigan, for example, the Winter Protection Plan requires low-income customers to pay “at least 7% of [the] estimated annual bill each month, plus 1/12 of any past due bills.”¹⁶ However, senior citizen customers are not required to pay anything during the winter months and receive protection from disconnection from Nov. 1 to March 31 in Michigan. While date-based protections that require no payment at all provide needed protection during the winter month, spikes in disconnection during the months leading up to winter months and after the protection ends can be observed (see Fig. 6 for the example from Minnesota). Additionally, pure date-based protection does not provide any financial assistance to low-income households.

1.2.2.2. Temperature-based protection. Temperature-based protection provides protection from disconnection during excessively cold or hot days. Some states base those protections on National Weather Service Heat Advisory or Excessive Heat Warnings, others protect against disconnection during days with set temperatures, such as below 32°F or above 95°F. However, those protections are not a permanent solution and often protect only during those days with excessive heat or cold. While some states include forecasted weather conditions (for example Maryland’s utilities cannot shut off service during the 72 h after the temperature is either 32 °F or below or if temperature exceeds 95 °F at any time of year), utilities are usually able to shut off service in between excessively cold or hot days, leaving the disconnected customer exposed during the next extreme weather event.

1.2.2.3. Medical protections. Customers with medical problems often need medical equipment such as nebulizers, life support machines, and

¹⁴ NAACP, Lights Out in the Cold, March 2017, http://www.naacp.org/wp-content/uploads/2017/12/Lights-Out-in-the-Cold_NAACP.pdf.

¹⁵ See *Memphis Light, Gas & Water Div. v. Craft*, 436 U.S. 1, 98 S. Ct. 1554, 56 L. Ed. 2d 30 (1978) (“a utility may not terminate service “at will” but only “for cause,” and hence respondents assert a “legitimate claim of entitlement” within the protection of the Due Process Clause of the Fourteenth Amendment.”).

¹⁶ Michigan Gas Utilities, Winter Protection Plan, https://accel.michigangasutilities.com/home/winter_protection.aspx, Accessed March 30, 2018.

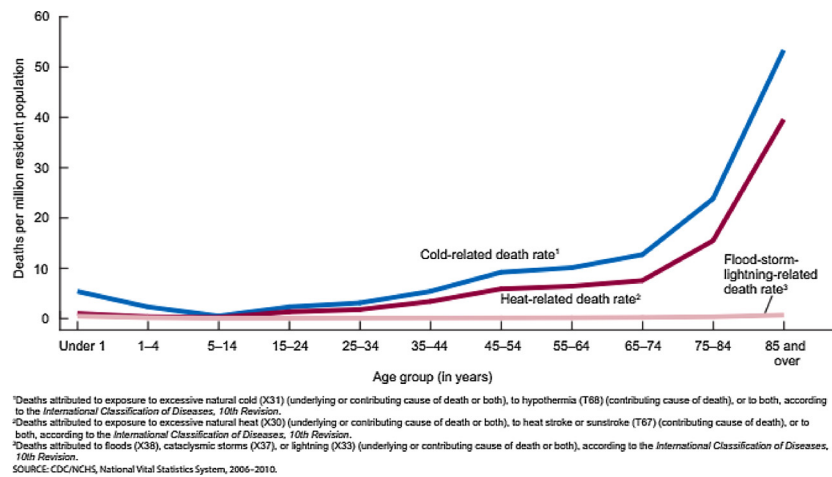


Fig. 2. Crude death rates for weather-related mortality, by age in the United States, 2006–2010. Source: National Health Statistics Report, Deaths Attributed to Heat, Cold, and Other Weather Events in the United States, 2006–2010, July 30, 2014, <https://www.cdc.gov/nchs/data/nhsr/nhsr076.pdf>.

dialysis machines that rely on electricity. In most states, customers can apply for medical protection to keep power on to supply such equipment. Only Alaska, Arizona, Arkansas, Colorado, Florida, Kentucky, and North Carolina do not offer medical protection.¹⁷ However, even in states that do offer medical protection, the policy and how to apply for medical protection is often not widely known. Additionally, the process to apply can be burdensome and in some cases requires that the customer provide the utility with a certification from a qualified medical professional as often as every 30 days.

1.2.2.4. Other disconnection limitations. States often provide additional disconnection limitations. One example of these additional limitations is protection from disconnection for households with elderly persons and/or small children. Some states will not disconnect during certain hours of the day, night or the weekend. Other states will not disconnect electricity or natural gas before or during a holiday when offices are closed for customers who would like to reach out to rectify the situation. Similar to temperature and date-based protection, this is not a permanent solution and does not include any financial support to provide low-income customers with a chance to overcome debt to the utility in the long term.

1.2.3. Payment plans

Payment plans are required in most states as an alternative to disconnection for non-payment. They entail repayment of an arrearage over a predetermined number of months, usually a down payment, and require low-income customers to pay a minimum towards their electricity bill. However, payment plans often are based on the amount that the customer owes and do not take into account the ability of the household to pay. Payment plans also do not provide long-term debt relief. Many bills continue to accrue interest while the customer attempts to repay, and therefore, the customer's debt level continues to grow. Furthermore, many customers do not have a sufficient recourse for removing charges that they have not incurred from their accounts. For example, a low-income customer could be burdened by charges stemming from a previous tenant or charges incurred by a different apartment that is on the same meter.

¹⁷ NAACP, Lights Out in the Cold, March 2017, http://www.naacp.org/wp-content/uploads/2017/12/Lights-Out-in-the-Cold_NAACP.pdf.

2. Description of disconnection protections: Examples from Minnesota and Iowa

Minnesota is far enough north to experience -60°F (-51°C) temperatures and blizzards during the winter months, but also far enough south to have 114°F temperatures and tornado outbreaks in the summer.¹⁸ The temperature differential of 174 degrees is the 11th-largest variation of any U.S. state and third-largest of any non-mountainous state, behind North Dakota and South Dakota, respectively.¹⁹ As in many other Midwestern states, winter in Minnesota is characterized by very cold (below freezing) temperatures and snowfall for several months. Temperatures and precipitation in the state of Minnesota vary greatly.

Minnesota has three disconnection protection policies in place that provide consumers of regulated investor-owned utilities with protection: the cold weather rule (Minnesota Statute 216B.096), protection from disconnection during extreme heat conditions (Minnesota Statute 216B.0975), and overall residential customer protections (Minnesota Statute 216B.098), which include medical protections.

2.1. Disconnection protection during extreme heat conditions

Minnesota statute prohibits utilities from disconnecting customers “in affected counties when an excessive heat watch, heat advisory, or excessive heat warning issued by the National Weather Service is in effect.”²⁰ The rule can be helpful, especially for elderly and low-income customers who do not have access to functioning air conditioners in the summertime. Over the next decades, weather events have the potential to become more extreme. For St. Paul, the National Oceanic and Atmospheric Administration's (NOAA) Climate Program Office predicts that the medians of days with a maximum temperature above 95°F will increase to between 10 and 45 by 2090 (depending on lower or higher emissions) from below 5 days in 2010 (Fig. 3).²¹

¹⁸ MN Department of Natural Resources, Minnesota Climate Facts, Accessed March 30, 2018.

¹⁹ U.S. Extreme Record Temps & Differences". Golden Gate Weather Services. 2005, Accessed March 30, 2018.

²⁰ 2017 Minnesota Statutes, 216B.0975 Disconnection During Extreme Heat Conditions,

²¹ U.S. Climate Resilience Toolkit Climate Explorer, Days with Maximum Temperature Above 95° , <https://crt-climate-explorer.nemac.org/> . accessed June 4, 2018.

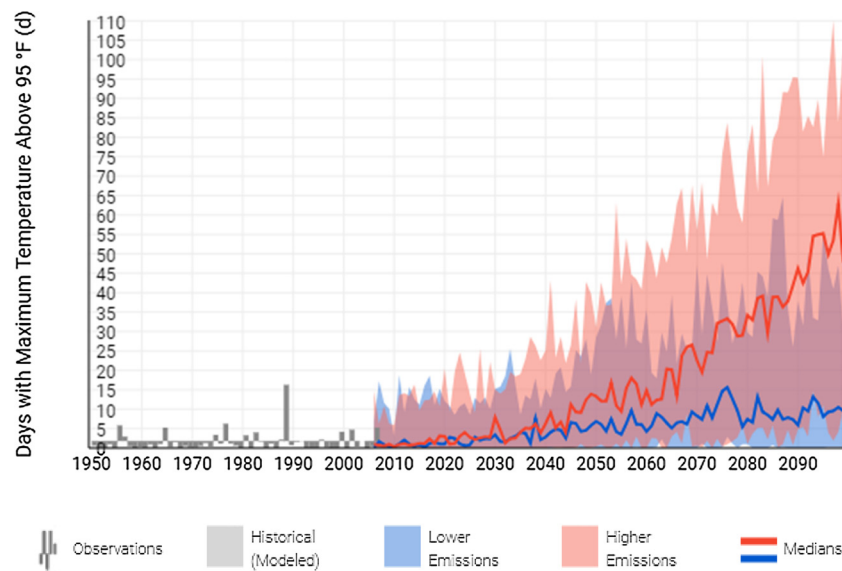


Fig. 3. Days with maximum temperature above 95°F for Ramsey County. Source: U.S. Climate Resilience Toolkit Climate Explorer, Days with Maximum Temperature Above 95°, <https://crt-climate-explorer.nemac.org/>.

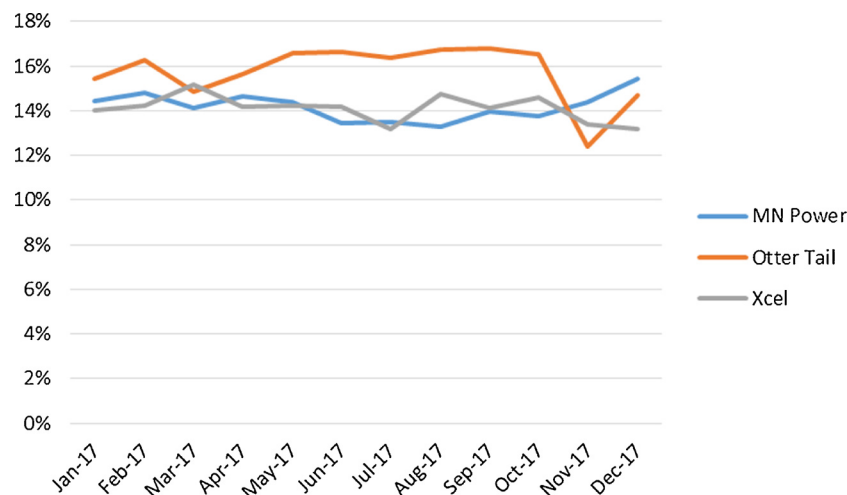


Fig. 4. Percentage of past-due residential customers by utilities in MN, 2017. Source: Data available on the website of the Minnesota Public Utility Commission, analysis by U.S. Department of Energy, 2018.

2.2. Cold weather rule

Minnesota's cold weather rule provides certain protections for consumers from Oct. 15 to April 15. The cold weather protection includes the following:²²

- Utilities must provide notice to the customer if a disconnection is planned during this time frame. This commission-approved notice must contain the date of the disconnection, the amount due, and a summary of rights and responsibilities.
- Households with a household income at or below 50% of the state median income (SMI) cannot be disconnected if the customer enters a mutually accepted payment agreement, under which the customer does not have to pay more than 10% of the household income towards utility bills.
- The utility must report to the PUC on how many customers are

disconnected.

Based on disconnection reporting to the PUC, the percentage of past-due residential customers for the three IOUs in Minnesota ranges from around 14% for Minnesota Power (MN Power) and Xcel to about 16% for Otter Tail (Fig. 4).

Although roughly 14–16% of accounts were past due for utilities in Minnesota, only a small percentage of all residential customer accounts for each utility requested cold weather protection (Fig. 5). The electric utility Xcel serves about 1.2 million electric customers, of which about 2.77% requested cold weather protection in April 2017—the highest amount for Xcel that year. Electric utilities Otter Tail and MN Power deliver power to about 50,000 and 106,000 customers, respectively. For Otter Tail, the highest number of cold weather protection requests in 2017 occurred in January, with 0.34% of all residential customer accounts, and for MN Power in November 2017, with 0.80% of all residential customer accounts (Fig. 5).

Disconnected accounts for all three utilities are lower in the winter months than during the summer. This trend is especially pronounced for Xcel, which reported a peak of 1814 disconnected accounts in July and only between 167 and 355 in the protected winter months

²² 2017 Minnesota Statutes, 216B.096 Cold Weather Rule; Public Utility, <https://www.revisor.mn.gov/statutes/?id=216b.096>, accessed March 30, 2018.

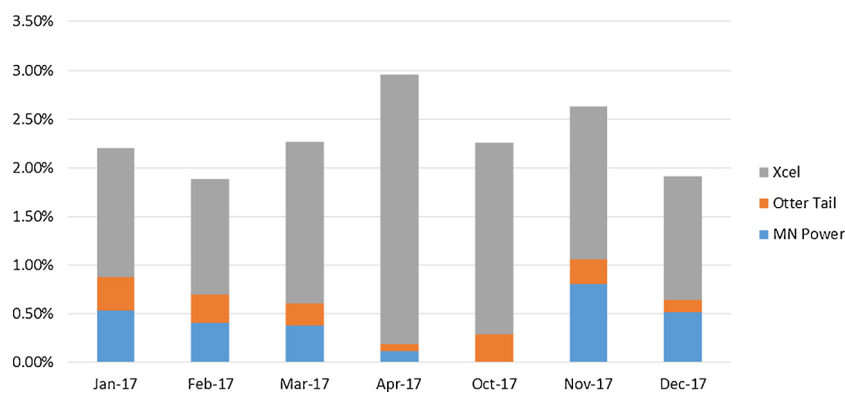


Fig. 5. Percentage of cold weather protection (CWP) requests (of all residential customer accounts) for winter months by utility, 2017. *Source: Data available on the website of the Minnesota Public Utility Commission, analysis by U.S. Department of Energy, 2018.*

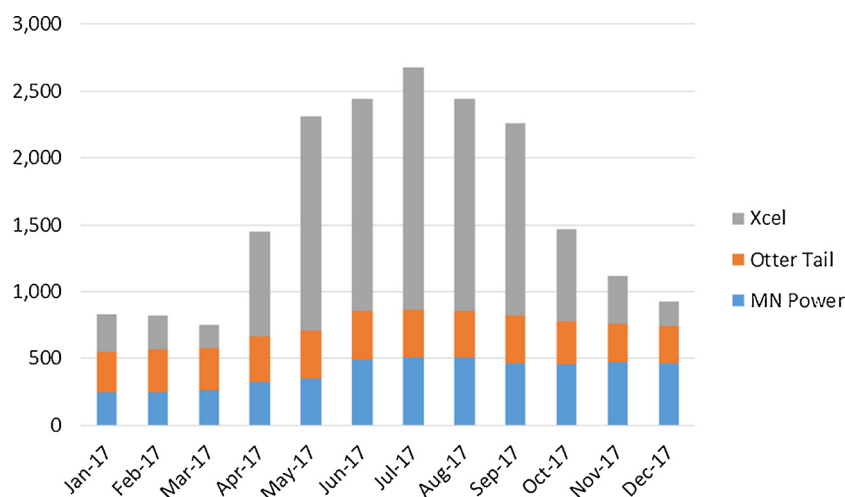


Fig. 6. Disconnected accounts by utility in MN, 2017. *Source: Data available on the website of the Minnesota Public Utility Commission, analysis by U.S. Department of Energy, 2018.*

(November to March) for 2017 (Fig. 6). However, disconnections, especially for Xcel, increased rapidly when the cold weather protection ended in April.

2.3. Overall residential customer protections

In addition to the cold weather rule and heat-based protections, Minnesota statute also provides for overall customer protections, such as the availability of budget billing plans and payment agreements. The same section of the statute also provides protections for customers with medical needs who rely on electronic equipment. A customer can provide the utility with a certification of “medial equipment requiring electricity necessary to sustain life.”²³ This certification provided by a medical professional lasts for six months and prevents the utility from disconnecting the utility service or requires the utility to reconnect the customer if a disconnection has already occurred. In Colorado, Xcel Energy offers a 12-month protection for customers who require ventilators.²⁴

As evidenced by the low enrollment numbers for the cold weather protection (Fig. 5), one of the main challenges for any type of

disconnection protection is outreach. While Minnesota’s statute requires that all IOUs provide their customers with information each year about the cold weather rule, outreach remains limited due to a lack of funding and utility staff turnover. Outreach is also challenging to customers that could benefit from the medical protection. Utilities are working with community organizations to identify potential customers that could benefit from this rule, though identifying customers remains a key challenge.

2.4. Protection for LIHEAP-certified customers

In addition to examples from Minnesota, Iowa also has a range of protections. Together with date-based and temperature-based protection, Iowa provides complete protection from Nov. 1 through March 31 regardless of temperature for customers certified by the Low Income Home Energy Assistance Program (LIHEAP).²⁵ Customers “who notify their gas and electric utility that they are applying for LIHEAP certification through the local Community Action Program (CAP) agency may receive a 30 day stay from service disconnection during the moratorium.”²⁶

²³ Minnesota Statutes, 216B.098 Residential Customer Protections, 2017 <https://www.revisor.mn.gov/statutes/?id=216B.098>, Accessed March 30, 2018

²⁴ LIHEAP Clearinghouse, State Disconnection Policies, <https://liheapch.acf.hhs.gov/Disconnect/disconnect.htm>, Accessed March 30, 2018.

²⁵ The Low Income Home Energy Assistance Program (LIHEAP) provides support to eligible low-income households for heating and cooling energy costs. For more information, see <https://www.acf.hhs.gov/ocs/programs/liheap>.

²⁶ LIHEAP Clearinghouse, State Disconnection Policies, <https://liheapch.acf.hhs.gov/Disconnect/disconnect.htm>, Accessed March 30, 2018.

2.5. Payment plan: Second payment plan and Good Samaritan rule

Iowa also provides low-income consumers with the opportunity of a second payment plan if they fall behind on paying the rates under a first payment plan. If it is found that a customer cannot pay the agreed upon rate of the initial payment plan, utilities in Iowa have an obligation to offer the customer a new payment arrangement with more favorable terms. This policy assumes that the initial amount was likely too high and a lesser amount must be negotiated with the intention of making payments affordable for customers. However, debt continues to accrue during this process. The state also instituted the Good Samaritan Rule, which allows someone else to set up new service for somebody who has fallen behind in payments to the utility company.

2.6. Experience of customers in Minnesota

The authors reached out to customers in Minnesota through Legal Aid to better understand the firsthand accounts of customers who were benefiting from cold weather and medical protections. Excerpts of their stories are shared below.

2.6.1. Customer A

A retired, elderly woman in St. Paul receives less than \$1,000 per month from Social Security. At the suggestion of her doctor, she signed up for the medical protection program to ensure the use of her Continuous Positive Airway Pressure (CPAP) breathing machine. In her single family home, monthly bills of approximately \$250 resulted in an effective energy burden of 25%. She prioritized her limited funds to pay the mortgage over the electric bills, resulting in about \$1,000 in arrears. Her utility granted her medical protection.

Remaining in the medical protection program has not been simple. Every six months for the past two to three years, she must be recertified by her doctor, fax in the form, and call the utility to ensure that it receives and processes the certification. There have been several times when the certification was lost and the utility called her threatening to shut off her electricity, and by extension, her ability to breathe. She has engaged the help of a lawyer and is currently on a payment plan with the utility to pay back her arrearages.

2.6.2. Customer B

An unemployed intern for a church in Hennepin County pays approximately \$600 per month in rent for the duplex where he and his wife live. In addition, he has many medical bills because the mold and rodents in his home amplified the couple's asthma. His electricity bills were approximately \$120 per month until his new neighbor moved in, causing his bill to increase to over \$200 per month. It turns out that the utility account included not only his own bill but also that of his neighbor. This customer discovered the cold weather rule and stopped paying his electric bills. He instead focused on getting his computer fixed and cell phone reconnected for his job search, and paying off some other bills. While grateful to have the heat in the winter, his electricity bill continues to accrue. He had never heard of LIHEAP or the Weatherization Assistance Program (WAP)²⁷ so had not applied for those programs, but planned to apply to see if either program could help him with his overall bill amount.

2.6.3. Customer C

A single mother on disability in Oakdale receives \$1,089 in Social Security and child support combined, and used to receive an additional \$50 per month in Supplemental Nutrition Assistance Program (SNAP) funding. She lives in a Section 8 HUD rental, which authorizes the

payment of rental housing assistance to private landlords. She is required to pay 30% of her income for her two-story, three-bedroom townhouse that she shares with her teenage son through this program.

She has lived in her current home for 12 years in which her property management has rarely made any improvements. As a result, black mold, which started from the leaks in pipes, exacerbates her asthma. She also has diabetes, post-traumatic stress disorder (PTSD), depression, and a chronic skin condition which makes it painful for her to travel at times. She has had medical protection since 2014, although when she faxed in her certification in July last year, she found out in September that it had not been received when the utility threatened to shut off her power. She minimizes the heat in the winter even though she feels cold. She constantly runs two fans in the summer because the uneven heating and air conditioning patterns in her home produce hot patches, which aggravate her skin condition.

Her utility bills have been as high as \$469 in the winter, where \$250 is incurred just from the fees on the amount owed to date. It turns out that when she originally moved into her apartment in 2006, there was already a bill of over \$1,500 due from the previous tenant and that has always remained on her account.

Although our case studies focused on the consumer protections provided by regulated utilities, each case highlighted that the disconnection issue could be part of broader low-income housing protection issues that we did not attempt to examine further at this time. For example, in the case of the customers that were being charged for power that they did not consume, this may be a landlord-tenant issue that could benefit from further examination by the states or entities that regulate landlords.

3. Discussion

3.1. Remaining barriers

3.1.1. Enforcement and communication

Many protection provisions lack enforcement and are often not communicated properly to customers in need. While many utilities send out annual flyers with utility bills that describe protections they provide, these flyers may not always be read by those in need. When customers fear disconnection, the first call is often to the utility. It is important that the utility customer representative understands the protections and can clearly communicate these protections to the customer in need. The PUC, utility, and community action agencies should be coordinating on how to inform customers. Furthermore, information sharing through non-traditional channels, such as places of medical care for medical protection and libraries, could also improve communication.

3.1.2. Reconnection fees

Customers that experience a disconnection are often required to pay a reconnection fee to regain access to electricity or natural gas. Since the customer is already behind in paying the household's utility bill, a reconnection fee often adds to the financial burden of the household or prevents the consumer from being able to apply for reconnection.

3.1.3. Smart meters

With increased smart meter deployment, the potential for increased disconnection rises as well. Prior to smart meters, each disconnection required a costly physical trip to the meter. Smart meter technologies allow utilities to disconnect customers remotely. Smart meters also provide the possibility for prepaid accounts. Proponents of prepayment highlight the increased control a customer has over the household's energy usage, the flexibility in determining when to pay for the utility service, and the fact that most utilities do not require a reconnection

²⁷ The Weatherization Assistance Program (WAP) increases the energy efficiency of low-income households. For more information, see <https://www.energy.gov/eere/wipo/weatherization-assistance-program>.

fee. Opponents stress that prepaid service is characterized by highly elevated rates of service disconnection, is often more expensive for customers, entails additional fees that increase the costs further, and requires waivers of important consumer protections (such as disconnection notices).²⁸

3.1.4. Lack of protections for heating fuels

In many states, utility protections, such as those described above, are only inclusive of electricity and, in some cases, natural gas. In the Northeast region of the country as well as Alaska and many rural areas, a number of households use propane, oil, or other heating fuels for home heating. There are fewer consumer protections in place for heating fuels, so even if a home may benefit from utility protection for electricity, it still may not have a source of heating during cold weather months. Such protections are harder to put in place because customers of these fuels usually have to pre-pay upon delivery and there's no networked connection to shut off. Additionally, consumers using propane for heating purposes comprise a captive audience, as propane tanks have to be purchased, and thus the consumer cannot easily switch suppliers without having to either purchase an additional tank or provide a deposit for tank rentals. This often leads to consumers using electric space heaters as a last resort, since an electricity bill can be paid later.

In addition, financial support for heating fuels is much more limited. Some states, such as Maine and Vermont, have tried to use the Unfair Deceptive Practices (UDAP) consumer protection laws for protection from heating fuel cut-offs with limited success. These laws do not provide a parallel level of protection to regulated utility protections.²⁹

3.1.5. Data

Complicating the matter is the lack of available data on frequency and duration of utility shut-offs, which prevents a national and systematic attempt to quantify the issue. Some states collect data on utility shut-off and disconnection (i.e., Minnesota and California), but the data needs to be combined manually to create a timeline, as the data is provided currently by each utility separately. Additionally, the data usually only includes the counts of accounts disconnected, without indicating whether the same accounts are being disconnected multiple times or discrete accounts are getting disconnected and reconnected once. Data on the impacts of utility shut-offs on the health of customers, such as incidences of asthma and arthritis, would also provide a more nuanced picture.

3.2. Analogy from telecommunications

The U.S. definition of energy access has traditionally been limited to those individuals that do not have grid-tied power or distributed resources. Customers who are disconnected due to the inability to pay would not be included in this definition.

The Communications Act of 1934 established the principle of universal telecommunication service, making, “available to all the people of the United States, without discrimination on the basis of race, color, religion, national origin, or sex, a rapid, efficient, nationwide, and world-wide wire and radio communication service with adequate facilities at reasonable charges [...]”.³⁰ Since that time, the Federal Communications Commission (FCC) has established a fund and comprehensive set of programs to implement this statutory principle. The

Telecommunications Act of 1996 expanded the goal of universal service to include both telecommunications and advanced services, such as high-speed internet for all customers at just, reasonable, and affordable rates.³¹

Although the necessity of electricity for modern life is equivalent to the importance of telecommunications and broadband access, no corresponding federal universal service principle for electricity exists. Collaborative state and national programs that provide consumer access, affordability, and disconnection protections analogous to those in telecommunications could be derived from a federal codification of universal electricity access.

4. Conclusion

Utility disconnection policies vary significantly from state to state. In the limited case studies examined, seasonal, temperature, medical, and other types of programs do appear to temporarily protect customers with specific vulnerabilities. The implementation, accessibility, and knowledge of these programs is uneven. In order to understand the magnitude of the shut-off problem, there is a need for consistent and transparent data collection on the topic at a national scale. In other areas, utilities already provide certain financial information to the Federal Energy Regulatory Commission (FERC) annually. Similar national level reporting would improve the quantitative understanding of utility disconnections.

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Kirsten Verclas is an ORISE Science and Technology Policy Fellow at the U.S. Department of Energy. Previously, she was a Program Manager in the International Department of the National Association of Regulatory Utility Commissioners (NARUC) working on regulatory partnerships in Africa. Ms. Verclas started her career working on transatlantic relations in a non-profit organization. She holds a B.A. in International

²⁸ Clearinghouse, Report: Prepaid Utility Service, Low-Income Customers and LIHEAP, March 2014, <https://liheapch.acf.hhs.gov/pubs/LCIssueBriefs/prepaid/FINALprepay.pdf>.

²⁹ Interview with John Howat, National Consumer Law Center, Feb. 1, 2018.

³⁰ Communications Act of 1934, Section 1 <https://transition.fcc.gov/Reports/1934new.pdf>, Accessed May 25, 2018.

³¹ Federal Communications Commission, Universal Service, <https://www.fcc.gov/general/universal-service>, Accessed May 25, 2018.

Relations with a Minor in Economics from Franklin and Marshall College and an M.A. in International Relations with a concentration in Security Studies from The George Washington University. She also earned an M.S. in Energy Policy and Climate from Johns Hopkins University.

Eric Hsieh is the Director for Energy Finance and Incentives Analysis within the Office of Policy at the U.S. Department of Energy. His team provides market, economic, and

financial analysis of policies and programs to meet national energy goals. Mr. Hsieh was previously the Director of Business Development at Nexans and the Director of Market Development at A123 Systems. He has also held positions at the National Electrical Manufacturers Association and the Federal Energy Regulatory Commission (FERC). He received a M.P.P. from UC Berkeley and a B.S. in Computer Science and Engineering from MIT.